



DIGITAL PAYMENTS

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Indigenous payments solution UPI is looking to increase its global footprint. But there are many issues it must address

BY NAVNEET DUBEY

► **NPCI INTERNATIONAL PAYMENTS** Ltd (NIPL), a wholly-owned subsidiary of the National Payments Corporation of India (NPCI), has left no stone unturned in its quest to make the Unified Payments Interface (UPI) a global solution.

These efforts appear to be bearing fruit. During Prime Minister Narendra Modi's recent visit to France, he announced that the European country had allowed the use of UPI for retail payments. France joins Singapore, the UAE, Nepal, Sri Lanka and Bahrain in allowing UPI. Pretty soon, Indians visiting France, Thailand, the UK and the US could have a potentially cheaper payment option.

IN COUNTRIES WHERE CARD NETWORKS ARE STRONG, UPI MAY FACE OPPOSITION FROM INCUMBENTS

"Customers pay between 1.2 and 4.2 per cent markup for using a credit-, debit- or prepaid forex card abroad. We have already seen cash being replaced by UPI in domestic payments. A similar trend might

soon be seen overseas. The other area it can disrupt is cross-border remittance, where the cost of sending \$500 today to India is almost 5 per cent, which can potentially come down with UPI interoperability," says Ranadurjay Talukdar, Partner and Payments Sector Leader at EY LLP India.

For this to happen, though, the NPCI must address a few challenges.

Technology integration: The NIPL will need to improve traceability and accountability to ensure customer data security. "One key thing is how the UPI will connect globally with other faster payment systems, because the technology, messaging protocols, and standards are different. So, a connector will have to be built at NPCI to ensure technology integration," says Mihir Gandhi, Partner and Payments Transformation Leader at PwC India.

Competitive conversion rates: The promise of UPI is that transaction fees could be lower than, say, credit cards that have different charges like cross-currency mark-up, forex, etc. Talukdar says, "Unless the exchange rate and the mark-up fees are competitive, it will not be easy to make affluent and super-affluent customers shift to UPI from cards." Providing re-